

a thorough overhauling of the machinery of American business, and the development of new business institutions and new business practices capable of relieving and mitigating undue and dangerous economic conditions of strain in the future. Although human nature changes very little, nevertheless to a considerable extent the business men of this country have themselves grown wiser, and more anxious to exercise in their own operations an intelligent foresight and an enlightened self-restraint. But what is probably still more important—we have in the past twenty years very greatly improved the ordinary methods by which business is carried on in this country, and very considerably expanded and improved those credit institutions upon which the brunt of a business crisis so heavily and invariably falls.

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*Should American business be seriously menaced in the future, the Stock Exchange will be found fighting shoulder to shoulder with the Federal Reserve system and other constructive institutions of the land to restore, preserve, and to sustain business prosperity.*

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The most conspicuous example along just this line has undoubtedly been the development of our splendidly staunch and flexible Federal Reserve banking system. In 1920 the business horizon was once again darkened with thunderclouds, but the storm did not fall—as previously it had in 1907—upon thousands of completely separate and isolated banking institutions without a common leadership, a united purpose, or the tremendous strength which comes from nation-wide cooperation. Instead—and for the first time in the history of American finance—the after-war collapse in 1920 was met resolutely, unitedly and intelligently by our American banks under the leadership of the Federal Reserve